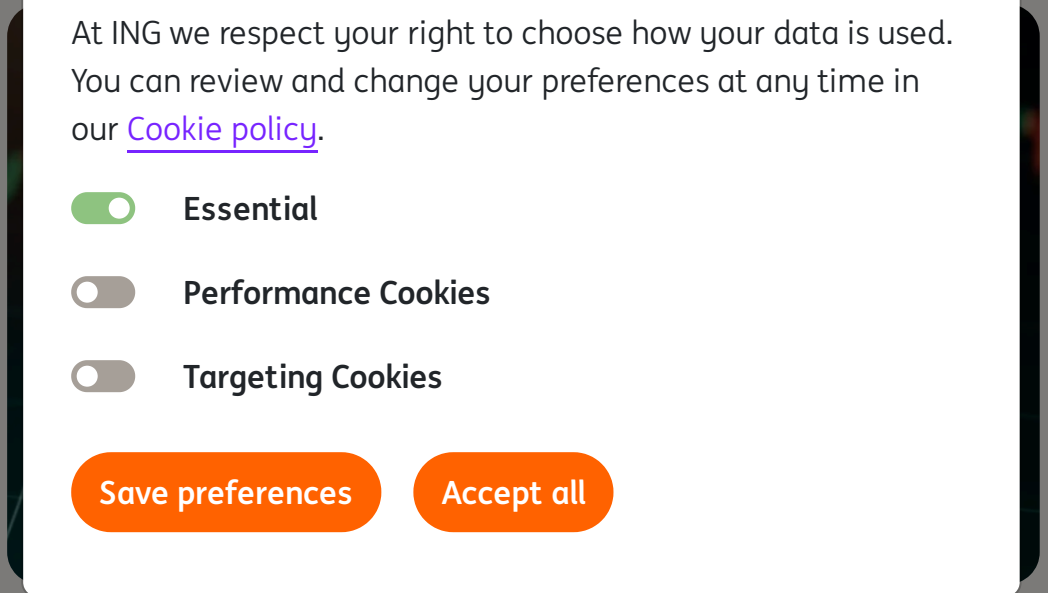
The dollar is trading close to the year's highs after US inflation came in hot for the third month in a row and the Fed's Chris Waller threatened to vote for a 50bp rate hike in December. Bearish yield curve flattening is typically good for the dollar and bad for procyclical currencies, as the monetary brakes are applied. Expect the dollar to hold gains today



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We're seeing the US yield curve bear flatten, and that's a dollar positive

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USD: Big moves in short-dated rates

The Fed's Chris Waller tossed a hawkish grenade into money markets early yesterday with his threat to vote for a 50bp rate hike at the 9 December FOMC meeting. He conditioned this on the October CPI data coming in hot for the third month in a row, which it subsequently did. The comments and the CPI print contributed to a 20bp rise in short-dated Treasury yields and a 7bp flattening in the 2-10 year curve. The case is increasingly building for the Fed to take rates into restrictive territory to slow aggregate demand and bring inflation back to target. That has been the stated aim of Fed

Chair Kevin Warsh since his first FOMC press conference in June. While Waller's suggestion of a 50bp hike in December may be too aggressive for many of the FOMC voters who favour gradual tightening, his comments keep alive the prospect that the Fed needs to hike three more times.

What does this mean for FX? Bearish flattening of the US yield curve as the Fed takes rates into restrictive territory is normally good for the dollar against activity currencies. Here, activity currencies underperform as the world's most important central bank wants to slow aggregate demand. We did kind of see that price action yesterday, with the Norwegian krone and Swedish krona underperforming in a strong dollar environment, although t
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resistance at 102.85/103.00 sooner rather than later.

Chris Turner

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EUR: Holding support at 1.11

A high technical level at 1.1110 is currently providing the floor for EUR/USD. This marks the 50% retracement of the 25 March to 26 Jan rally and is probably a good level for speculative accounts to book some profits on short EUR/USD positions. But the case for a bounce from this support region is weak. Yes, it looks very likely that the ECB will match a Fed hike in December, but the case for an extended ECB tightening cycle is far weaker than that of the Fed. And despite seasonal trends normally being bullish for EUR/USD in

December, we instead think a hawkish Fed will be the dominant theme into year-end and EUR/USD will at some stage want to press the lower end of a 1.10-1.15 range.

The eurozone calendar is quiet today, but a few more ECB speakers will likely prove supportive of a hike to 2.75% at the 17 December meeting. Elsewhere, today's national strike in Spain will only remind investors of the political challenges Europe faces later this year and into next.

Expect EUR/USD to trade well within a 1.1140-1.1200 range today.

Chris Turner

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through resistance at 159, but we increasingly think investors will be looking to acquire cheap yen should USD/JPY push above 160 again.

Chris Turner

CEE: It's all about gas

Hungarian inflation remains benign despite headline CPI rising to 2.0% in October. The increase was largely driven by fuel prices, while core inflation remained subdued at 2.1%, with no convincing signs of second-round effects. The bigger test will come during the winter repricing season as higher energy costs feed through. We expect inflation to reach 3.0% in December and average 3.4% in

2027. For the National Bank of Hungary, inflation already provides room for easing, but global risks remain the key constraint. We expect rates to stay at 5.50% through year-end, with further cuts more likely in the second half of 2027.

In the Czech Republic, headline inflation was confirmed at 2.4%, while core inflation remained unchanged at 3.1%, one-tenth of a percentage point below the Czech National Bank's forecast. This does not significantly alter the outlook for the CNB. Both our projections and those of the CNB suggest that headline inflation will continue to rise, heading toward 3% in December and approaching 4% in January and February due to new-year repricing and base effect. Subsequently, inflation should begin to d
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struggled to move lower. Arguably, gas has greater importance to the CEE region, particularly ahead of winter.

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Consequently, despite the temporary relief in the market driven by falling oil prices, we view the global environment as remaining challenging for the CEE complex, and we maintain our view of higher levels in EUR-cross pairs, as we have noted in previous days.

Frantisek Taborsky

FX

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